Property prices are 5.2% below their March peak: how far could the downturn go?

Falling house prices as an asset-price channel of monetary policy, with who is protected, who is exposed, and why states are reliant on stamp duty.

WHAT HAPPENED

National property values were 5.2% lower in September than at their March peak, the sixth straight monthly fall. The author says the downturn was already under way after the first rate rise of the year in February, before the May budget's tax changes.

Treasury estimated the budget's changes to negative gearing and capital gains tax would lower prices by only about 2% over a couple of years, so the author sees interest rate rises as the main driver.

A 15% fall would exceed any earlier Australian downturn (usually 5 to 10% peak to trough), yet it would only take prices back to early-2024 levels after a 78% rise since 2020 on one index.

Most owners would keep equity, but recent first home buyers with small deposits face negative equity risk. Falls have been larger at the top of the market, and fewer sales cut stamp duty income, which the author uses to argue for a broad-based land tax.

BY THE NUMBERS

-5.2%
National property values, change from March peak
September 2026 (six straight monthly falls)

10 to 15%
Expected peak-to-trough fall
estimate by Cotality's Tim Lawless, Oct 2026

5 to 10%
Usual peak-to-trough fall in earlier Australian downturns
past downturns (fifth in 20 years)

78%
Median national property price, rise since 2020
one respected index, 2026

KEY TERMS

Negative equity: When the mortgage owed is larger than the value of the home.

Stamp duty: A state tax paid when property changes hands, so its revenue falls when sales volumes fall.

Wealth effect: Households spend less when the value of their assets, such as housing, falls.

Land tax: A tax on the value of land held, which is a steadier revenue source than stamp duty.

EXAM ANGLE

A balanced treatment of falling house prices: the monetary policy channel and wealth effect, but also who is protected (equity built up since 2020) and who is exposed (recent low-deposit buyers). The stamp duty section gives a micro-reform example on the tax mix.

SYLLABUS LINK

TOPIC 3: distribution of wealth (housing). It links to TOPIC 4: the effects of interest rate changes on economic activity.

TRY THIS

Explain how higher interest rates can lead to falling house prices. (4 MARKS)
Outline one reason falling house prices may not make housing more affordable for first home buyers. (2 MARKS)

Source: Hal Pawson (UNSW), The Conversation, 6 October 2026. Summary written in our own words for classroom use; read the original for the full argument. https://theconversation.com/this-chart-tells-you-everything-you-need-to-know-about-the-downturn-in-property-prices-293426